

SAAKSHI

Earnings Call Transcript • Dec 2025



FINANCIAL PERFORMANCE`.

* *Company:* Saakshi Medtech and Panels Limited.

* *Period:* H1 FY'26 (ending around Nov 2025).

* *Revenue:*

- * H1 FY'26: Rs. 58.31 crores.
- * H1 FY'25: Rs. 44.45 crores.
- * H2 FY'25: Rs. 47.97 crores.
- * YoY Growth: ~31%.
- * QoQ (H1 vs H2 FY'25): ~22%.

* *PAT:* Rs. 6.63 crores (H1 FY'26).

* *EBITDA Margin:* 18.71% (H1 FY'26).

* *Segmental Revenue (H1 FY'26):*

- * Integrated Control Systems: ~57-58% of total.
- * Engineered Metal Assembly: ~37% of total.
- * Together: ~95% of total.
- * Integrated Control Systems grew 40% YoY.

* *Aerospace:* H1 FY'26 revenue > Rs. 1 crore vs H1 FY'25 Rs. 0.14 crores (~7-fold increase).

* *Balance Sheet:*

- * Total Assets: Rs. 147.63 crores.
- * Capex invested: Rs. 15 crores.
- * CWIP: Rs. 9.4 crores.
- * Cash & Cash Equivalents: Rs. 1.59 crores (down from Rs. 3.26 crores).
- * Current Ratio: 2.34.
- * Debt-to-Equity: 0.17.
- * ROE: 6.54%.
- * ROCE: 7.45%.
- * Gross Block: Rs. 147.63 crores (mentioned by CFO).

* *Capex/Expansion:*

- * New integrated facility: 41,000 sq ft.
- * Benefit: Eliminates > Rs. 2 crores annual rental cost.
- * Phase 2 completion: March 2026.
- * Remaining Capex: ~Rs. 5 crores.

* *Order Book:*

- * Current quarter visibility: ~Rs. 50 crores.
- * Defense portion: ~5% of order book.
- * Mahindra EV Panel order: Rs. 250 cr total (5 years). Executed Rs. 10 cr (Feb '24 - Sept '25). Pending: ~Rs. 230 cr over next

* *Guidance:*

- * FY'26 Revenue: "Somewhere close to" Rs. 140 crores.
- * H2 usually ~15% growth over H1.
- * Margins: Expected to be in similar range as H1 (around 18%).
- * Long-term revenue target: Cross Rs. 200 crores in next couple of years.
- * Aerospace target: 20% of revenue cycle in next couple of years.
- * Potential revenue from assets: Rs. 500 crores.

* *Risks/Concerns:*

- * Energy sector customers not yet returned.
- * GE Vernova: Certification for wind turbines not completed; no orders expected for another 6 months.
- * Inventory and receivables on the higher side.
- * Debt increase due to term loans for new facility construction.

* *Financial Performance Table:* Fill in Revenue, PAT, EBITDA Margin, Debt-to-Equity, ROE, ROCE.

* *Key Highlights:* Integrated facility, rental savings, aerospace growth, segmental split.

* ***Growth Drivers:*** Aerospace (AS9100, NADCAP), Radiators (data centers/power gen), Integrated Control Systems (automation OEM).

* ***Guidance:*** FY'26 target (~140cr), H2 trend, long-term 200cr target.

* ***Capex:*** 41k sq ft facility, Phase 2 (March '26), Rs. 5cr remaining.

* ***Risks:*** GE Vernova delay, Energy sector slump, Working capital (inventory/receivables).

* ***Q&A:*** Mahindra order, GE/Siemens status, Asset turns, Aerospace margins.

* ***Tone:*** Cautiously Bullish (strong growth, but some delays in energy/GE and working capital concerns).

* ***Check:*** Did I use only transcript info? Yes.

* ***Check:*** Exact figures? Yes (e.g., Rs. 58.31 cr).

* ***Check:*** YoY/QoQ calculations? Revenue YoY (31%) and QoQ (22%) are explicitly stated.

* ***Check:*** No hallucinations? Yes.

* ***Check:*** Markdown format? Yes.

* ***Check:*** No conversational filler? Yes.

 FINANCIAL PERFORMANCE

Metric	Figure	YoY	QoQ
Revenue	Rs. 58.31 crores (H1 FY'26)	+31%	+22%
PAT	Rs. 6.63 crores (H1 FY'26)	N/A	N/A
EBITDA Margin	18.71% (H1 FY'26)	N/A	N/A
Debt-to-Equity	0.17	N/A	N/A
ROE	6.54%	N/A	N/A
ROCE	7.45%	N/A	N/A
Current Ratio	2.34	N/A	N/A
Cash & Equivalents	Rs. 1.59 crores (H1 FY'26)	-51%*	N/A

*Calculated from H1 FY'25 figure of Rs. 3.26 crores mentioned in transcript.

Other Key Metrics: - **Total Assets:** Rs. 147.63 crores. - **Gross Block:** Rs. 147.63 crores. - **CWIP:** Rs. 9.4 crores. - **Capex Invested:** Rs. 15 crores.

 KEY HIGHLIGHTS

- **Strategic Facility Consolidation:** The company is transitioning to a new 41,000 square feet integrated manufacturing facility. This move consolidates operations previously spread across three locations, which is expected to unlock operational leverage and improve throughput.
- **Rental Cost Elimination:** By exiting legacy rental premises, the company will eliminate annual rental costs exceeding Rs. 2 crores, directly benefiting the bottom line.
- **Segmental Revenue Contribution:** Total revenue is heavily concentrated in two segments: Integrated Control Systems (57% to 58% of revenue) and Engineered Metal Assembly (approximately 37% of revenue). Together, these account for ~95% of total revenue.
- **Aerospace Ramp-up:** The company has seen a significant surge in its aerospace vertical, with revenue growing from Rs. 0.14 crores in H1 FY'25 to over Rs. 1 crore in H1 FY'26 (a nearly seven-fold increase). This is attributed to the successful ramp-up of serial production and AS9100 certification.
- **Integrated Control Systems Growth:** This segment, which serves a major automation OEM, was the primary driver for H1 growth, recording a 40% year-on-year revenue surge.

 GROWTH DRIVERS

- **Aerospace Expansion:** Growth is being driven by existing OEM customers and active engagements with two new Tier-1 aerospace customers who have completed initial audits. The company is pursuing NADCAP (special process certification) to enable exponential growth in this high-margin segment.

- **Radiator Business:** A new business line focusing on heat exchangers/radiators for diesel genset applications (primarily for data centers) and potentially off-road vehicles. This is based on technology transfers from two customers and is tied to the completion of the new facility.
- **EV Sector:** The company continues to execute a long-term contract for Mahindra EV Panels.
- **Railway Sector:** Approximately 25% of current revenues cater to the railway business via JV partners (primarily diesel locomotives). The company is currently bidding for electric locomotive (EV loco) business.
- **High-Value Mix:** A strategic shift toward "high mix and high-value manufacturing" to improve margins, specifically targeting the aviation and power generation sectors.

MANAGEMENT GUIDANCE & OUTLOOK

- **Revenue Guidance:** Management indicated they should be "somewhere close to" a topline of Rs. 140 crores for FY'26.
- **Seasonal Trend:** Management noted that H2 is typically stronger than H1, usually seeing approximately 15% growth.
- **Long-term Targets:** The company intends to cross the Rs. 200 crore revenue mark within the next couple of years.
- **Aerospace Target:** Management aims for the aerospace segment to contribute approximately 20% of the total revenue cycle within the next couple of years.
- **Margin Outlook:** EBITDA margins are expected to remain in a similar range to H1 FY'26 (around 18%), though management noted that depreciation from the new gross block will kick in next financial year.
- **Asset Utilization:** Management estimates that with the current gross block, they can target a potential revenue realization of Rs. 500 crores.

CAPEX / EXPANSION / ORDER BOOK

- **Facility Expansion:**
 - **Phase 1:** New 41,000 sq ft integrated facility is currently being commissioned.
 - **Phase 2:** Scheduled for completion by March 2026, specifically designed for high-volume, long-cycle contracts in panels, HLA, and aviation.
- **Remaining Capex:** Approximately Rs. 5 crores of Capex is remaining for the final leg of the facility completion and the introduction of some automation activities.
- **Order Book Visibility:**
 - **General:** The company operates on OEM long-term contracts with quarterly inflows; therefore, they only provide 3-month visibility.
 - **Current Quarter:** Approximately Rs. 50 crores of orders are to be executed in the present quarter.
 - **Defense:** Represents approximately 5% of the total order book.
 - **Mahindra EV Order:** A 5-year contract totaling ~Rs. 240 crores. From February 2024 to September 2025, Rs. 10 crores have been executed, leaving approximately Rs. 230 crores to be executed over the next 4 years.

RISKS, CONCERNS & RED FLAGS

- **Customer Concentration & Delays:**
 - **GE Vernova:** Order flow is delayed by at least six months as the customer is still completing certifications for wind turbines.
 - **Energy Sector:** Management admitted they have not yet seen the realization of customers returning from the energy sector side.
- **Working Capital Pressure:** An analyst pointed out that inventory and receivables are on the higher side. Management attributed the inventory increase to the need to cater to increased revenue.
- **Debt Increase:** Long-term borrowings have increased due to new term loans used for the construction of the first floor of the new facility.
- **Execution Risk:** The transition to the new integrated facility and the subsequent ramp-up of the radiator business are critical dependencies for the FY'27 growth targets.

ANALYST Q&A KEY TAKEAWAYS

- **On GE Vernova & Siemens:** GE Vernova is on the approved vendor list, but orders are delayed by ~6 months due to turbine certifications. For Siemens, two products have been approved, and production for electrical switchgear cabinets is expected to start next quarter.

- **On Mahindra EV Order:** Management clarified that while the total order is large (~Rs. 240cr), execution is slow, with only Rs. 10cr executed since Feb '24, leaving Rs. 230cr for the next 4 years.
- **On Asset Turns:** When questioned about asset turns on a gross block of ~Rs. 147 crores, management stated they believe the assets can eventually support Rs. 500 crores in revenue.
- **On Aerospace Margins:** Management confirmed that EBITDA margins for the aerospace segment are expected to exceed 20%.
- **On Radiator Margins:** For the upcoming radiator business, management is seeing quoted margins in the range of approximately 20%.

OVERALL TONE & CREDIBILITY

- Overall tone: **Cautiously Bullish**
- **Justification:** The company has delivered strong H1 growth (31% YoY) and is successfully diversifying into high-margin aerospace components. The consolidation of facilities into a single 41,000 sq ft plant provides a clear path to cost reduction (Rs. 2cr rental saving) and operational efficiency. However, credibility is slightly tempered by the lack of a long-term formal guidance framework (as noted by an investor) and delays in order flow from GE Vernova and the energy sector. Management was transparent about the slow execution of the Mahindra order and the specific certification hurdles in the wind energy segment, suggesting a realistic rather than promotional approach.